Associate → Subsidiary: Disposal-Reversal Method (incremental net goodwill)

Same step acquisition as the standard sheet, but modelling the case where the accounting system AUTOMATICALLY posts a full disposal of the previously held associate interest. We reverse those automatic disposal journals, then post the acquisition consolidation for the controlling interest, so the goodwill we are left with is the incremental net goodwill — exactly as if a single step acquisition had been processed (IFRS 3.41–42).

Why this is needed: under IFRS 3 a step acquisition is NOT a disposal followed by a fresh purchase — it is one business combination in which the previously held interest is remeasured to fair value through P/L and included in a single goodwill calculation. If the system has already auto-recorded a disposal (derecognising the interest and crystallising a disposal gain/loss), that entry must be reversed before the correct acquisition entries are posted, otherwise the gain and the goodwill are misstated and double-counted.

STEP 1 — Reverse the system's automatic disposal journals

The system treated the previously held interest as fully disposed of. Those auto-posted entries typically were:

(a) What the system automatically posted (for reference)

```
Dr   Bank / Proceeds (deemed)                    [system-generated]
  Cr   Investment in associate (carrying amount)
  Cr   Profit on disposal of associate (P/L)
Dr   Reserves (associate OCI recycled)
  Cr   Profit on disposal (P/L)
```

(b) Reverse each automatic disposal journal in full

```
Dr   Investment in associate (reinstate carrying amount)
Dr   Profit on disposal of associate (P/L — reverse out)
  Cr   Bank / Proceeds (deemed)   [reverse the system entry, line for line]
Dr   Profit on disposal (P/L — reverse)
  Cr   Reserves (reinstate associate OCI)
```

Net effect: the previously held interest is back on the books at its equity-accounted carrying amount, and the system-generated disposal gain/loss and any recycled OCI are removed. We are back to a clean starting point.

STEP 2 — Post the correct step-acquisition journals

2.1 Remeasure the previously held interest to fair value (IFRS 3.42)

```
Dr   Investment in former associate      (FV at acquisition date − equity-accounted carrying amount)
  Cr   Gain on remeasurement of previously held interest (P/L)
```

This is the ONLY gain that should remain in P/L on the previously held interest — the remeasurement to fair value, not a disposal gain. Reverse (Dr loss) if FV is below carrying amount.

2.2 Reclassify / transfer the associate's accumulated OCI (treated as a deemed disposal — IAS 28.22)

```
Dr   Relevant OCI reserve (e.g. FCTR, CF hedge, FVOCI debt)
  Cr   Profit or loss (reclassification to P/L)
Dr   Relevant OCI reserve (non-reclassifying, e.g. reval surplus)
  Cr   Retained earnings (transfer within equity)
```

2.3 Record the consideration for the additional (controlling) interest

```
Dr   Investment in subsidiary        (cost of the newly acquired shares)
  Cr   Bank / Consideration payable
```

2.4 Acquisition-method consolidation journal (date control obtained)

```
Dr   Identifiable assets acquired          (at acquisition-date fair value)
Dr   Goodwill                              (balancing figure — see below)
  Cr   Identifiable liabilities assumed       (at acquisition-date fair value)
  Cr   Non-controlling interest               (at FV, or % of net assets)
  Cr   Investment in subsidiary               (FV of previously held interest + consideration transferred)
```

Incremental / single-step goodwill (IFRS 3.32) = Consideration transferred for the new interest **+** NCI **+** fair value of the previously held interest **−** fair value of identifiable net assets acquired.
Because the disposal was reversed, this is the **net goodwill as if a step acquisition had been processed** — there is no separate "disposal" goodwill and no double count.

STEP 3 — Consolidation journals expected after acquisition

Identical to the standard subsidiary consolidation set — once Steps 1–2 have corrected the opening position, the group consolidates the subsidiary normally:

A. At-acquisition elimination (pro-forma J1)

```
Dr   Share capital — subsidiary            (at acquisition)
Dr   Retained earnings — subsidiary        (at acquisition)
Dr   Other reserves — subsidiary           (at acquisition)
Dr   Goodwill
  Cr   Investment in subsidiary               (FV of previously held interest + consideration)
  Cr   Non-controlling interest                (at acquisition)
```

B. Fair-value adjustments to identifiable net assets (at acquisition)

```
Dr   Asset (PPE / inventory / intangible)      (FV uplift)
  Cr   Fair-value adjustment reserve (equity at acquisition)
  Cr   Deferred tax liability                    (uplift × tax rate)
```

C. Allocate post-acquisition movements to NCI (each period)

```
Dr   NCI share of profit (P/L allocation)
  Cr   Non-controlling interest (SFP)
```

NCI share of OCI allocated similarly; subsidiary dividends reduce NCI (Dr NCI / Cr Dividends paid — subsidiary).

D. Depreciation / amortisation on the fair-value adjustments (each period)

```
Dr   Depreciation (P/L)
  Cr   Accumulated depreciation (SFP)
Dr   Deferred tax liability
  Cr   Income tax expense (P/L)
```

E. Goodwill impairment (if indicated)

```
Dr   Impairment loss (P/L)
  Cr   Goodwill
```

F. Eliminate intragroup transactions and balances

```
Dr   Revenue
  Cr   Cost of sales
Dr   Cost of sales (P/L)                   [unrealised profit in closing inventory]
  Cr   Inventory (SFP)
Dr   Deferred tax asset
  Cr   Income tax expense
Dr   Profit on sale of PPE (P/L)           [unrealised profit on asset transfer]
  Cr   Property, plant and equipment (SFP)
Dr   Accumulated depreciation (SFP)        [reverse excess depreciation]
  Cr   Depreciation (P/L)
Dr   Loan / trade payable                  [intragroup balances]
  Cr   Loan / trade receivable
Dr   Interest income                       [intragroup interest]
  Cr   Interest expense
Dr   Dividend income (parent)              [intragroup dividends]
  Cr   Dividends paid (subsidiary)
```

The net result: after reversing the automatic disposal (Step 1) and posting the correct remeasurement and acquisition entries (Step 2), the P/L carries only the **fair-value remeasurement gain** on the previously held interest, and the statement of financial position carries a **single, incremental goodwill** figure identical to a properly processed step acquisition. The post-acquisition consolidation (Step 3) then proceeds exactly as for any subsidiary, with no residual "disposal" effects.